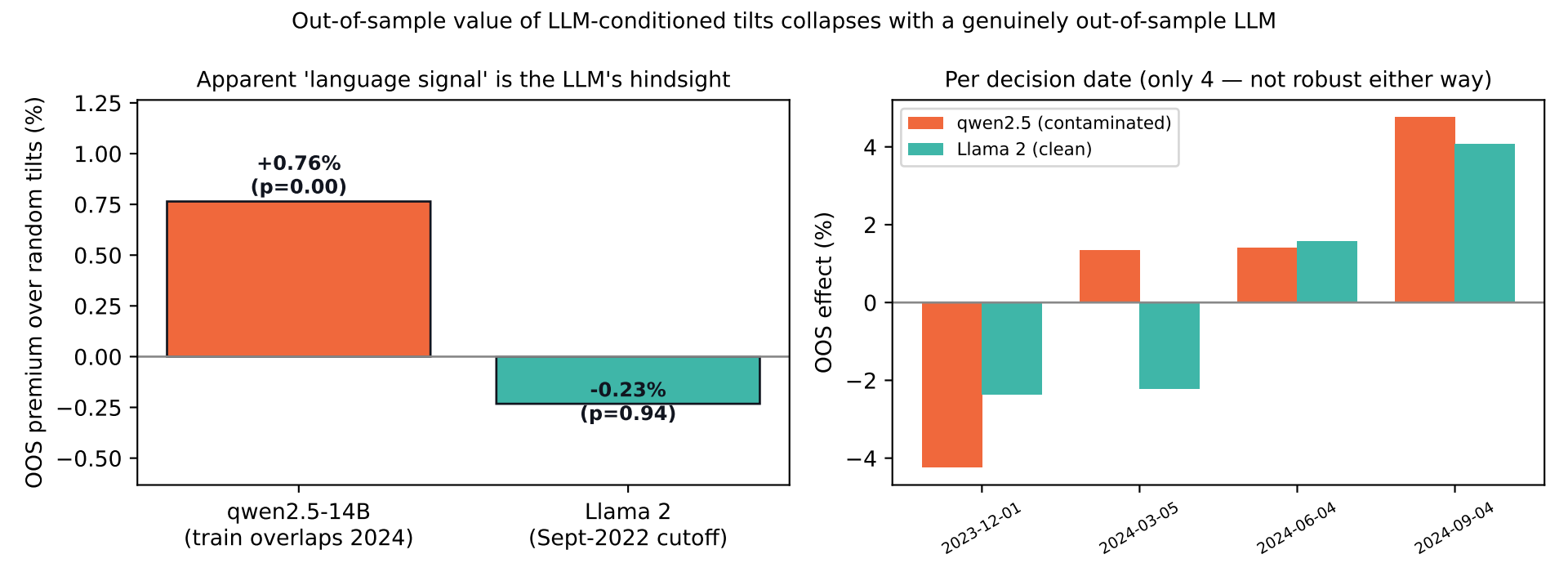
Out-of-sample value of LLM-conditioned tilts collapses with a genuinely out-of-sample LLM
Apparent 'language signal' is the LLM's hindsight
OOS premium over random tilts (%)
1.25
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
+0.76%
(p=0.00)
-0.23%
(p=0.94)
qwen2.5-14B
(train overlaps 2024)
Llama 2
(Sept-2022 cutoff)
Per decision date (only 4 — not robust either way)
OOS effect (%)
qwen2.5 (contaminated)
Llama 2 (clean)
4
2
0
−2
−4
2023-12-01
2024-03-05
2024-06-04
2024-09-04